



Project Tally-Ho



DRAFT

Due diligence assistance

Deal Advisory

—

August 16, 2019

Important notice

This report is provided to Parkland Fuel Corporation ("Parkland", "Client" or "you") on a confidential basis pursuant to our engagement letter dated July 16, 2019 ("Engagement Agreement") and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than the Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of the Client and KPMG.

In preparing our report, our primary source has been Client's internal management information and representations made to us by Management of Client. We do not accept responsibility for such information which remains the responsibility of Management and we have satisfied ourselves, so far as possible, that the information presented in our report is consistent with other information which was made available to us in the course of our work in accordance with the terms of our Engagement Agreement. We have not, however, sought to establish the reliability of the sources by reference to other evidence.

This engagement is not an assurance engagement conducted in accordance with any generally accepted assurance standards and consequently no assurance opinion is expressed.

The quality of earnings and working capital analysis is for indicative purposes only. We have sought to illustrate the effect on EBITDA and working capital by adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional'. However the selection and quantification of such adjustments is necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'underlying' earnings and working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings and working capital trends for future periods may be affected by such items, which may be different from the historical items.

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Private and confidential

Parkland Fuel Corporation
Jason Quenneville
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August 16, 2019

Dear Mr. Quenneville,

We have completed our procedures to assist Parkland Fuel Corporation ("Parkland", "Client" or "you") in performing financial due diligence in connection with your prospective investment (the "Transaction") in Tropic Oil Company (the "Company" or "Target"), in accordance with the terms of our engagement letter dated July 16, 2019, including its Terms and Conditions for Advisory and Tax Services.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions/meetings with Target Management. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Basis of Information

The engagement letter describes the procedures we were to perform and are attached herein in Appendix 1. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and/or Target from July 16, 2019 to August 16, 2019, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to August 16, 2019. We have not reviewed this report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

DRAFT REPORT

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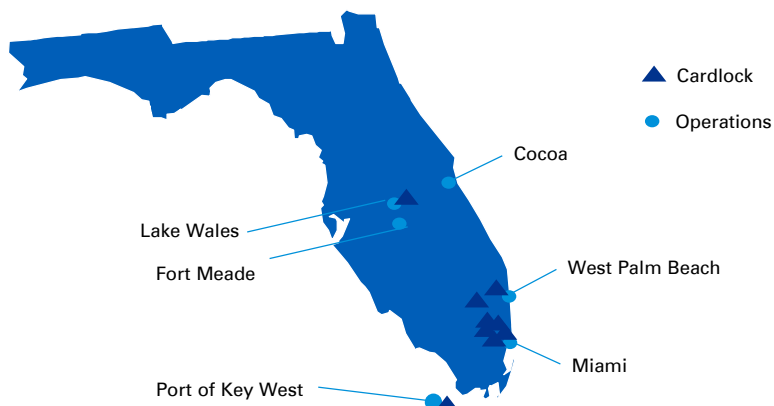
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Executive summary

Business & transaction overview

Geographic operations



Financial summary

Financial summary						
\$'000	Reported			Adjusted		
	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
Net sales	202,336	297,835	336,149	202,336	297,835	336,149
EBITDA	3,016	5,143	7,095	3,016	5,609	7,568
EBITDA margin	1.5%	1.7%	2.1%	1.5%	1.9%	2.3%

Source: Management provided information, KPMG analysis

Business overview

- Tropic Oil Company (the “Company”, “Tropic”, or “Target”) is a fuel and lubricants distributor servicing a combination of marine (cruise & shipping) and other customers (mining, industrial, and construction).
- Tropic was founded in 1952 and is based in Miami, Florida. The Company primarily operates in the Central and Southern Florida region out of ports of service distributed throughout the region.
- The Company provides marine fuel, bulk fuel, and industrial lubricants to its commercial customers, as well as operating nine cardlock locations surrounding Miami and Lake Wales.
- Notable suppliers include Chevron, ExxonMobil, and Shell. Tropic is Shell’s exclusive marine distributor in South Florida and is the full-line distributor for ExxonMobil lubricants.
- The Company began their Cocoa operations in Q3-17 and also acquired Highland Oil & Gas in July 2018.

Information overview

- The analysis contained in this report is prepared based on the following sources and information:
 - **Data room access:** Key information provided by Management in an electronic data room; and
 - **Management meetings:** Discussions held with Management, primarily Steven A. Scoppetuolo (CFO).

Transaction overview

- Please refer to the following page for a more detailed breakdown of the organizational structure.
- It is our understanding that Parkland Fuel Corporation is evaluating the acquisition of Tropic Oil Company.
- The transaction will be structured as a share purchase of Tropic Oil Company, Inc. and Tropic Transportation LLC and an asset purchase of Tropic Lake Wales LLC, Tropic Lakes Wales II LLC, and Tropic Fort Meade LLC.
 - Tropic Real Property Holdings LLC, Tropic Cocoa, LLC and Tropic Cocoa Two, LLC are not within the scope of the transaction, but will be leasing property to Tropic.

Tropic Oil Company structure

George LeVasser
(CEO)
66.76%

Stephen Gorey
(President)
33.24%

Tropic Oil Company ("TOC")

- Main operating Company including Medley Bulk Plant and Tropic Fleet (Cardlock Business)

Tropic Transportation LLC ("TTP")

- All Fleet vehicles and related services

Tropic Lake Wales LLC ("TLW")

- Owns 1130 N Scenic Hwy, Lake Wales FL
- Consists of an office building, Warehouse, Bulk Plant and Cardlock Site
- Occupied by TOC

Tropic Lake Wells 2 LLC ("TLT")

- Owns East JA Wiltshire Avenue, Lake Wales
- Currently a vacant lot

Tropic Fort Meade LLC ("TFM")

- Owns 400 West Myrtle Avenue, Fort Meade
- Consists of 3 20k storage tanks and a loading rack
- Used by TOC Spray Oil

Tropic Real Property Holding LLC ("REH")

- Owns 9970 NW 89th Court Building
- Consists of an Office/Warehouse
- Occupied by TOC, Ukay, Green Tag & Super Sonic

Tropic Cocoa LLC ("TCL")

- Owns 662/664 South Industry Road, Cocoa
- Consists of an office and warehouse
- Occupied by TOC and Brevard County Windustrial

Tropic Cocoa Two LLC ("TCT")

- Owns 660 South Industry Road, Cocoa
- Currently a vacant lot

Transaction perimeter ("Company")

Leased by Company

Source: Management provided information, KPMG analysis

Summary reported financial statements

The adjacent financial statements represent the combined results of the Company, based on internal trial balances provided by Management.

The Company operates with a December 31st fiscal year-end, and the financial statements were reviewed by HLB Gravier, LLP.

Refer to Appendix 2 for a reconciliation of Management accounts and annual financial statements.

See the Quality of Earnings and Net Working Capital sections for adjustment considerations.

Consolidated income statement			
			TTM
\$'000	FY17	FY18	Jun-19
Net sales	202,336	297,835	336,149
Cost of sales	(185,025)	(273,060)	(305,370)
Gross profit	17,311	24,775	30,779
Payroll related expenses	(8,894)	(12,127)	(14,845)
Operating expenses	(5,451)	(7,609)	(8,922)
Bad debts provision	(55)	(137)	(174)
Depreciation	(584)	(902)	(1,230)
Amortization	(123)	(621)	(797)
Interest expense	(236)	(933)	(1,178)
Other income/(expense)	106	240	257
Total expenses	(15,238)	(22,088)	(26,889)
Net income	2,073	2,687	3,890
EBITDA Calculation			
Interest	236	933	1,178
Taxes	-	-	-
Depreciation and amortization	707	1,522	2,027
EBITDA	3,016	5,143	7,095

Source: Management's internal trial balances, information provided by Management

Consolidated balance sheet			
	As at		
\$'000	31-Dec-17	31-Dec-18	30-Jun-19
Cash	(380)	32	66
Accounts receivable- Tropic Oil	17,619	21,784	24,079
Accounts receivable- T Fleet	2,156	2,800	2,392
Allowance for doubtful accounts	(486)	(764)	(756)
AR - Other	-	4	(8)
Other receivables	284	574	551
Inventory	8,525	13,069	12,579
Prepaid expenses	166	693	385
Current assets	27,884	38,192	39,287
Property and equipment, net	2,465	7,651	8,691
Right of use assets	2,774	2,661	2,755
Goodwill - Net	488	3,203	2,870
Other assets	674	989	1,141
Intercompany	(184)	(326)	(416)
Total assets	34,100	52,370	54,329
Accounts payable	(8,847)	(13,931)	(13,715)
Accrued expenses	(554)	(999)	(1,044)
Accrued sales taxes	(113)	(147)	(301)
Accrued property taxes	-	(10)	(19)
Accrued liabilities	(134)	(164)	(286)
Notes payable - current portion	(233)	(1,795)	(1,056)
Current portion of LTD	(348)	(399)	(415)
Line of credit	(9,195)	(13,419)	(14,296)
Due to/from shareholders	(655)	(1,089)	(373)
Current liabilities	(20,077)	(31,952)	(31,505)
Note payable, long-term portion	(230)	(4,685)	(4,480)
Liabilities - Non current	(2,554)	(2,497)	(2,595)
Total liabilities	(22,861)	(39,134)	(38,580)
Equity	(11,240)	(13,236)	(15,748)
Total liabilities and shareholder's equity	(34,100)	(52,370)	(54,329)

Source: Management's internal trial balances, information provided by Management



Quality of earnings

Quality of Earnings (1/6) - Overview

TTM Jun-19 EBITDA increased from \$7.1 million to \$7.6 million subsequent to Management and potential adjustments.

Refer to the following pages for additional information on each adjustment.

Certain other items which were not quantifiable and may impact historical and future EBITDA were also identified during due diligence. See 'Other considerations' for further discussion.

Quality of Earnings			
\$'000	FY17	FY18	TTM Jun-19
Net sales, reported	202,336	297,835	336,149
Potential adjustments		-	-
Net sales, potentially adjusted	202,336	297,835	336,149
Net income, reported	2,073	2,687	3,890
Add/(deduct)			
Interest, net	236	933	1,178
Depreciation & amortization	707	1,522	2,027
Income taxes	-	-	-
EBITDA, reported	3,016	5,143	7,095
Management adjustments		695	746
EBITDA, Management adjusted	3,016	5,838	7,841
Potential adjustments		(229)	(273)
EBITDA, potentially adjusted	3,016	5,609	7,568
EBITDA margin, potentially adjusted	1.5%	1.9%	2.3%

Source: Management provided information; KPMG analysis.

Note: FY17 adjustments have not been provided by Management.

Basis of Presentation

The quality of earnings schedule above illustrates normalizations to EBITDA and other factors to be considered which were identified for the fiscal years ended December 31, 2017, 2018 and trailing twelve months ended June 30, 2019.

The proposed normalizations are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed normalizations.

Overview

- The adjacent table presents a summary of the Company's reported and adjusted EBITDA.
 - Monthly internal financial statements (refer to Appendix 2 for a reconciliation to the reviewed financial statements);
 - Additional supporting information provided by Management in a virtual data room;
 - Discussions held with the Company's Management.
- The nature of the adjustments included in our quality of earnings analysis are as follows:
 - **EBITDA, reported:** Reflects definitional add-backs (i.e. interest, income taxes, depreciation and amortization) to net income/(loss);
 - **Management adjustments:** Normalization adjustments to reported EBITDA identified by Management for FY18 and YTD Jun 2019; and
 - **Potential adjustments:** Adjustments of one-time or non-recurring nature to reflect the underlying revenue and earnings of the core business.
- Significant adjustments are discussed further on the following pages.

Quality of earnings (2/6) - Management adjustments

Quality of Earnings			
\$'000	FY17	FY18	TTM Jun-19
Net sales, reported	202,336	297,835	336,149
Potential adjustments	-	-	-
Net sales, potentially adjusted	202,336	297,835	336,149
EBITDA, reported	3,016	5,143	7,095
<i>EBITDA margin, reported</i>	<i>1.5%</i>	<i>1.7%</i>	<i>2.1%</i>
Management adjustments			
1 Owner compensation		225	225
2 Owner's personal expenses		78	78
3 President - personal expenses		69	69
4 Charitable contribution		16	16
5 Gift for former CFO's wife		10	10
6 Terminated employees		174	251
7 Renegotiated bonus plan		54	27
8 Lake Wells truck compliance		70	70
Management adjustments		695	746
EBITDA, Management adjusted	3,016	5,838	7,841
<i>EBITDA margin, Management adjusted</i>	<i>1.5%</i>	<i>2.0%</i>	<i>2.3%</i>
Potential adjustments		(229)	(273)
EBITDA, potentially adjusted	3,016	5,609	7,568
<i>EBITDA margin, potentially adjusted</i>	<i>1.5%</i>	<i>1.9%</i>	<i>2.3%</i>

Source: Management provided information; KPMG analysis.

Note: Management has not provided FY17 adjustments.

Management adjustments

The following are adjustments to reported EBITDA identified by Management.

- Owner compensation:** Compensation, payroll taxes, 401K contribution and health insurance paid to George LeVasser (CEO) has been removed as he will not remain with the Company subsequent to the transaction. The CEO role will be absorbed by the current leadership team and will not be backfilled.

Owner compensation			
\$'000	FY17	FY18	TTM Jun-19
a) Salary and bonus		179	179
b) Payroll taxes		10	10
c) 401K contribution		20	20
d) Health insurance		15	15
Owner compensation		225	225

Source: Management provided information; KPMG analysis.

- Owner's personal expenses:** This adjustment removes personal expenses paid by the Company that will cease post-transaction. The add-back includes approximately \$25,000 of discretionary personal expenses incurred on Company credit card, which were reviewed on a sample basis. Refer to the table below for a breakdown of personal expenses.

Owner's personal expenses			
\$'000	FY17	FY18	TTM Jun-19
a) Miscellaneous expenses		25	25
b) Family - Healthcare insurance		15	15
c) Travel expense		11	11
d) Spouse car lease		8	8
e) Car insurance		7	7
f) Cellphone		3	3
g) Contract labor		8	8
h) Tax returns		2	2
Owner's personal expenses		78	78

Source: Management provided information; KPMG analysis.

Quality of earnings (3/6) - Management adjustments

Quality of Earnings			
\$'000	FY17	FY18	TTM Jun-19
Net sales, reported	202,336	297,835	336,149
Potential adjustments	-	-	-
Net sales, potentially adjusted	202,336	297,835	336,149
EBITDA, reported	3,016	5,143	7,095
<i>EBITDA margin, reported</i>	<i>1.5%</i>	<i>1.7%</i>	<i>2.1%</i>
Management adjustments			
1 Owner compensation		225	225
2 Owner's personal expenses		78	78
3 President - personal expenses		69	69
4 Charitable contribution		16	16
5 Gift for former CFO's wife		10	10
6 Terminated employees		174	251
7 Renegotiated bonus plan		54	27
8 Lake Wells truck compliance		70	70
Management adjustments		695	746
EBITDA, Management adjusted	3,016	5,838	7,841
<i>EBITDA margin, Management adjusted</i>	<i>1.5%</i>	<i>2.0%</i>	<i>2.3%</i>
Potential adjustments		(229)	(273)
EBITDA, potentially adjusted	3,016	5,609	7,568
<i>EBITDA margin, potentially adjusted</i>	<i>1.5%</i>	<i>1.9%</i>	<i>2.3%</i>

Source: Management provided information; KPMG analysis.

Note: Management has not provided FY17 adjustments.

Management adjustments (cont'd)

3. **President personal expenses:** Removes personal expenses paid by the Company on behalf of the President (co-owner) and his family. Management represents that the expenses are not expected to continue post-transaction.

President - personal expenses			
\$'000	FY17	FY18	TTM Jun-19
a) Miscellaneous expenses		22	22
b) Boat fuel		12	12
c) Travel expenses		11	11
d) Country club fees		11	11
e) Contract labor		8	8
f) Cellphone		3	3
g) Tax returns		2	2
h) Umbrella policy		1	1
President - personal expenses		69	69

Source: Management provided information; KPMG analysis.

4. **Charitable contribution:** Management represents that the Company made charitable contributions on behalf of the CEO and the President and the donations were not made for business purposes. We have partially reversed Management's addback in QofE adj. #13 to reflect the amount recorded in the GL.
5. **Gift for former CFO's wife:** The cost of a one-time gift to wife of the former CFO has been removed from EBITDA.
6. **Terminated employees:** Management represents the Company's sales department had inefficiencies as a result of the acquisition of Highland Oil. In July and August 2019, three sales representatives were let go as part of a restructuring initiative. Management represents that they will not be replaced and that their customers will be reallocated. As such, salary and benefits related to these employees have been removed from EBITDA. The adjustment has been partially reversed in QofE adj. #14 to burden EBITDA with sales commissions that will continue to be paid on customer gross margin.

Quality of earnings (4/6) - Management adjustments

Quality of Earnings			
\$'000	FY17	FY18	TTM Jun-19
Net sales, reported	202,336	297,835	336,149
Potential adjustments	-	-	-
Net sales, potentially adjusted	202,336	297,835	336,149
EBITDA, reported	3,016	5,143	7,095
EBITDA margin, reported	1.5%	1.7%	2.1%
Management adjustments			
1 Owner compensation		225	225
2 Owner's personal expenses		78	78
3 President - personal expenses		69	69
4 Charitable contribution		16	16
5 Gift for former CFO's wife		10	10
6 Terminated employees		174	251
7 Renegotiated bonus plan		54	27
8 Lake Wells truck compliance		70	70
Management adjustments		695	746
EBITDA, Management adjusted	3,016	5,838	7,841
EBITDA margin, Management adjusted	1.5%	2.0%	2.3%
Potential adjustments		(229)	(273)
EBITDA, potentially adjusted	3,016	5,609	7,568
EBITDA margin, potentially adjusted	1.5%	1.9%	2.3%

Source: Management provided information; KPMG analysis.

Note: Management has not provided FY17 adjustments.

Management adjustments (cont'd)

6. **Terminated employees (cont'd):** See the table below for the breakdown of Management's proposed addback for terminated employees.

Terminated employees			
\$'000	FY17	FY18	TTM Jun-19
a) Salary and commissions	-	148	213
b) Payroll taxes	-	11	16
c) 401K contributions	-	4	7
d) Health Insurance	-	10	14
Terminated employees	-	174	251

Source: Management provided information; KPMG analysis.

7. **Renegotiated bonus plan:** Management represents that the Sales VP's FY18 compensation contained additional consideration for the Highland Oil acquisition. Effective FY19, his salary would be capped at \$350,000. The difference between actual and run-rate costs has been adjusted herein.

Renegotiated bonus plan - Sales VP			
\$'000	FY17	FY18	TTM Jun-19
Historical compensation		404	377
New compensation		350	350
Compensation difference		54	27

Source: Management provided information; KPMG analysis.

8. **Trucks compliance:** In August and September 2018, the Company made repairs to the fleet acquired from Highland Oil to ensure compliance with Tropic's vehicle standards. The table below compares the reported truck repair expense to the average monthly repair expense post-repair of \$85,000 per month and noted that Management's addback is reasonable.

Lake Wells trucks compliance			
\$'000	FY17	FY18	TTM Jun-19
Reported truck repair expense	(836)	(1,167)	(1,157)
Avg. repair expense post acquisition (\$85K)	(836)	(1,026)	(1,025)
Difference	-	141	132
Management's proposed addback		70	70

Source: Management provided information; KPMG analysis.

Quality of earnings (5/6) – Potential adjustments

Quality of Earnings			
\$'000	FY17	FY18	TTM Jun-19
Net sales, reported	202,336	297,835	336,149
Potential adjustments	-	-	-
Net sales, potentially adjusted	202,336	297,835	336,149
EBITDA, reported	3,016	5,143	7,095
<i>EBITDA margin, reported</i>	<i>1.5%</i>	<i>1.7%</i>	<i>2.1%</i>
Management adjustments		695	746
EBITDA, Management adjusted	3,016	5,838	7,841
<i>EBITDA margin, Management adjusted</i>	<i>1.5%</i>	<i>2.0%</i>	<i>2.3%</i>
Potential adjustments			
9 Gain on sale of assets		(73)	(58)
10 Interest income		(66)	(110)
11 Non-operating income		(56)	(72)
12 Family member healthcare		(9)	(9)
13 Charitable contributions		(11)	(10)
14 Terminated employees - commission		(15)	(15)
Potential adjustments		(229)	(273)
EBITDA, potentially adjusted	3,016	5,609	7,568
<i>EBITDA margin, potentially adjusted</i>	<i>1.5%</i>	<i>1.9%</i>	<i>2.3%</i>

Source: Management provided information; KPMG analysis.

Note: Management has not provided FY17 adjustments.

Potential adjustments

The following are potential adjustments to reported EBITDA identified during due diligence.

- Gain on sale of assets:** Removes the historical gains and losses on sale of assets on the basis that they are non-cash and non-operating in nature.
- Interest income:** Removes intercompany interest income between Lake Wales and Cocoa that offsets interest expense added back as part of definitional adjustments from net income to reported EBITDA.
- Non-operating income:** FY19 balance relates to revenue from bringing stale out of period AR credits into income (pre-2017). FY18 balances relate to recovery of legal interest on litigation with a customer and income for work on self storage with previous owners. Both balances have been removed from EBITDA on the basis that the nature of the entries are non-operating and non-recurring in nature.
- Family member healthcare:** Partially removes the CEO's family member healthcare expense from Management adj. #2b to reflect actuals based on invoice support.
- Charitable contributions:** Represents true-up of Management adj. #4 to reflect actuals recorded in the GL. The charitable contributions are discretionary in nature and may not be required post-transaction.

Charitable contribution			
\$'000	FY17	FY18	TTM Jun-19
Charitable add back per QofE adj. #4		16	16
Charitable contribution in GL		5	6
Adjustment		(11)	(10)

Source: Management provided information; KPMG analysis.

- Terminated employees – commission:** Partially reverses the commission in Management adj. #6 as commission represents variable expense required to earn the revenue that remains in EBITDA. Management represents that most of the sales representative's customer accounts will be moved to house accounts that do not earn commission. As such, the add back only represents the residual to be reallocated to other sales representatives.

Quality of earnings (6/6) – Other considerations

Other considerations

The following includes potential quality of earnings considerations identified during due diligence. These items relate to other potential business issues that should be considered in the overall evaluation of the business. In addition, these items may be subjective in nature and as a result, they have not been included in the quality of earnings schedule.

- A. Captive insurance:** The Company transitioned to a captive insurance plan for automobile and general liability in FY18. The run-rate for the captive insurance is generally adjusted with the benefit of hindsight for past claim experience. Sufficient time has not passed to determine if the current insurance expense in reported figures is representative of run-rate.
- B. Highland Oil – Pro forma:** The Company is unable to delineate marginal contribution between the legacy Tropic Oil business, the Cocoa location opening and the Highland Oil acquisition, as such, the historical acquisitions/ expansion cannot be carved-out from baseline financials to further understand the margin evolution.
- C. Management EBITDA adjustment support:** The table below summarizes the support provided by Management to support the proposed EBITDA adjustments. Discussions were held with Management to understand the nature of adjustments for the ones that did not have physical support.

Management adjustments		
No.	Management adjustment	Support received
1	Owner compensation	FY18 W2 statement and payroll register
a)	Miscellaneous expenses	Sample monthly personal credit card spending, with annualization
b)	Family - Healthcare insurance	Invoice support
c)	Travel expense	Sample monthly personal credit card spending, with annualization
d)	Spouse car lease	Lease agreement outlining monthly payment and end date
e)	Car insurance	Invoice support
f)	Cellphone	Sample monthly statement, with annualization
g)	Contract labor	General ledger screenshot
h)	Tax returns	Management representation
2	Owner's personal expenses	
a)	Miscellaneous expenses	Sample monthly personal credit card spending, with annualization.
b)	Boat fuel	Management representation
c)	Travel expenses	Sample monthly personal credit card spending, with annualization.
d)	Country club fees	Invoice support
e)	Contract labor	General ledger screenshot
f)	Cellphone	Sample monthly statement, with annualization
g)	Tax returns	Management representation
h)	Umbrella policy	Management representation
3	President's personal expenses	
4	Charitable contribution	Management representation
5	Gift for former CFO's wife	Management representation
6	Terminated employees	FY18 W2 statement and payroll register
7	Renegotiated bonus plan	New bonus plan and sales compensation structure
8	Lake Wells truck compliance	Management representation



Balance sheet, net working capital

Stratified balance sheet

The table below presents the Company's balance sheet as at December 31, 2017, December 31, 2018 and June 30, 2019 on a reported basis and segregated into its components as at June 30, 2019.

Consolidated balance sheet							
\$'000	As at			30-Jun-19			
	31-Dec-17	31-Dec-18	30-Jun-19	NWC	Net debt	Infra-structure	Other
Cash	(380)	32	66	-	66	-	-
Accounts receivable- Tropic Oil	17,619	21,784	24,079	24,079	-	-	-
Accounts receivable- T Fleet	2,156	2,800	2,392	2,392	-	-	-
Allowance for doubtful accounts	(486)	(764)	(756)	(756)	-	-	-
AR - Other	-	4	(8)	(8)	-	-	-
Other receivables	284	574	551	551	-	-	-
Inventory	8,525	13,069	12,579	12,579	-	-	-
Prepaid expenses	166	693	385	385	-	-	-
Current assets	27,884	38,192	39,287	39,222	66	-	-
Property and equipment, net	2,465	7,651	8,691	-	-	8,691	-
Right of use assets	2,774	2,661	2,755	-	-	2,755	-
Goodwill - Net	488	3,203	2,870	-	-	-	2,870
Other assets	674	989	1,141	-	-	-	1,141
Intercompany	(184)	(326)	(416)	-	-	-	(416)
Total assets	34,100	52,370	54,329	39,222	66	11,446	3,595
Accounts payable	(8,847)	(13,931)	(13,715)	(13,715)	-	-	-
Accrued expenses	(554)	(999)	(1,044)	(1,044)	-	-	-
Accrued sales taxes	(113)	(147)	(301)	(301)	-	-	-
Accrued property taxes	-	(10)	(19)	(19)	-	-	-
Accrued liabilities	(134)	(164)	(286)	(286)	-	-	-
Notes payable - current portion	(233)	(1,795)	(1,056)	-	(1,056)	-	-
Current portion of LTD	(348)	(399)	(415)	-	(415)	-	-
Line of credit	(9,195)	(13,419)	(14,296)	-	(14,296)	-	-
Due to/from shareholders	(655)	(1,089)	(373)	-	(373)	-	-
Current liabilities	(20,077)	(31,952)	(31,505)	(15,365)	(16,140)	-	-
Note payable, long-term portion	(230)	(4,685)	(4,480)	-	(4,480)	-	-
Liabilities - Non current	(2,554)	(2,497)	(2,595)	-	(2,595)	-	-
Total liabilities	(22,861)	(39,134)	(38,580)	(15,365)	(23,216)	-	-
Net assets	11,240	13,236	15,748	23,857	(23,150)	11,446	3,595

Source: Management provided information; KPMG analysis.

Stratified balance sheet

Net working capital components: See the following pages for additional adjustment considerations.

- **Accounts receivable:** The Company extends credit to its customers for an average of 30 days. Management historically records a blanket allowance for doubtful collections based on a stratification of client risk profile. As at June 30, 2019, the provision allowance is approximately 2.85% of the AR balance.
- **Other receivables:** Mainly comprised of unbilled sales, pollution taxes, credit card receivables and vendor rebates.
- **Inventory:** Includes \$11.0 million of non-fuel inventory (lubricant, spray oil, etc.), \$1.0 million of inventory in transit and \$600,000 of fuel inventory as at June 30, 2019.
- **Prepaid expenses:** Mainly represents prepaid insurance.
- **Accounts payable:** The Company's Days Payable Outstanding is on average 15 days for the last twelve months. The Company's main suppliers are ExxonMobil, Shell and Marathon.
- **Accrued expenses and accrued liabilities:** Mainly represents accrued workers compensation, salary, bonus and commission.

Net Debt: Comprised of line of credit from Mercantil Commercial Bank, shareholder notes, notes payable on equipment and the capital lease liability from Ryder.

Infrastructure: Includes trucks owned by the Company, trucks leased from Ryder, plant and warehouse equipment, office building, warehouse and bulk plant in Medley, Lake Wales and Fort Meade.

Other: Other assets are mainly comprised of various deposits, including \$600,000 for captive insurance. Intercompany payable represents payable to REH, TCL and TCT that has not been settled on a regular basis over the historical period.

Net working capital (1/4) - Overview

The adjacent table summarizes the Company's net working capital based on internal financial statements.

The average reported net working capital for the twelve months ended June 30, 2019 was \$23.0 million, which increases to \$24.1 million after potential adjustments.

Net working capital						
\$'000	As at			Average		
	31-Dec-17	31-Dec-18	30-Jun-19	FY17	FY18	TTM Jun-19
Net working capital, reported	18,618	22,909	23,857	15,702	21,794	22,973
Potential adjustments	645	1,282	1,282	461	768	1,163
Net working capital, adjusted	19,262	24,191	25,139	16,163	22,562	24,136
<i>Adjusted WC, as a % of net sales</i>	<i>9.5%</i>	<i>8.1%</i>	<i>7.5%</i>	<i>8.0%</i>	<i>7.6%</i>	<i>7.2%</i>

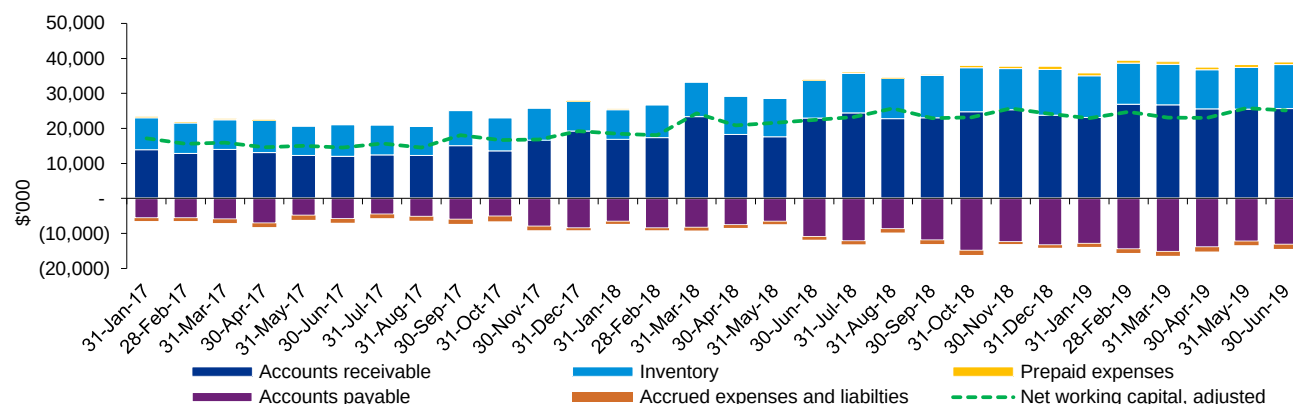
Source: Management provided information; KPMG analysis.

Basis of Presentation

The above net working capital schedule summarizes the potential adjustments to be considered for the fiscal years ended December 31, 2017, 2018, and the trailing twelve months ended June 30, 2019.

Such proposed adjustments are not deemed to be all inclusive. The validity of these potential adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

Net working capital, adjusted



Net working capital (2/4) – Potential adjustments

Net working capital						
\$'000	As at			Average		
	31-Dec-17	31-Dec-18	30-Jun-19	FY17	FY18	TTM Jun-19
Current assets						
Accounts receivable	19,289	23,824	25,706	13,972	21,729	24,820
Other receivables	284	574	551	147	407	710
Inventory	8,525	13,069	12,579	8,902	11,063	11,948
Prepaid expenses	166	693	385	235	303	478
Total current assets	28,264	38,160	39,222	23,256	33,501	37,955
Current liabilities						
Accounts payable	(8,847)	(13,931)	(13,715)	(6,326)	(10,592)	(13,482)
Accrued expenses and liabilities	(800)	(1,320)	(1,650)	(1,228)	(1,115)	(1,500)
Total current liabilities	(9,647)	(15,250)	(15,365)	(7,554)	(11,707)	(14,982)
Net working capital, reported	18,618	22,909	23,857	15,702	21,794	22,973
As % of TTM net sales	9.2%	7.7%	7.1%	0.8%	8.8%	7.7%
Potential adjustments						
1 Due to vendors - Contingencies	338	549	505	266	393	498
2 Fuel and sales tax	113	147	301	100	146	221
3 Deferred expenses	127	166	353	20	92	177
4 Accrued expenses - Lake Wells	-	300	-	-	28	153
5 Due to Customers - Fuel removals	68	68	68	70	68	68
6 Accrued interest	0	32	43	3	26	29
7 NWC impact of QoE adjustments	0	20	12	0	15	17
Potential adjustments	645	1,282	1,282	461	768	1,163
Net working capital, potentially adjusted	19,262	24,191	25,139	16,163	22,562	24,136
As % of TTM net sales	9.5%	8.1%	7.5%	8.0%	7.6%	7.2%

Source: Management provided information; KPMG analysis.

Potential adjustments

- Due to vendors – contingencies:** Historically, the Company sets up a liability related to the buyback lubricant when the inventory is received and reverses the liability when the invoice is received. The Company has been conservative in its assumptions and the reserve has been accumulating on the balance sheet. The stale reserve has been reversed as the liability may not materialize going forward.
- Fuel and sales tax:** After discussions with Client, we understand that payables related to fuel and sales taxes are not included within the definition of NWC in purchase agreement for this potential transaction. As such, we have removed these balances from adjusted NWC.
- Deferred expenses:** The Company records certain prepaid operating expenses (supplies, repairs and maintenance, license, etc.) in long term assets and amortizes the balance during the year. As the amortization periods of these repair and maintenance items are less than 12 months and they are recurring operating expenditures, the balance has been included in net working capital.
- Accrued expenses:** Removes a payable related to the acquisition of Highland Oil that was reallocated to Goodwill.
- Due to customers – Fuel removals:** Removes a stale accrual related to an out of period expense.
- Accrued interest:** Removes the accrued interest on the Shareholder Note and bank loans recorded in accrued expenses on the basis that the balances are debt-like in nature.
- NWC impact of QoE adjustment:** Illustrates the NWC impact of QoE adjustments using an assumed DPO of 15 days and an average accrued payroll of 1 week. Refer to Appendix 10 for additional detail.

Net working capital (3/4) – Other considerations

Other considerations

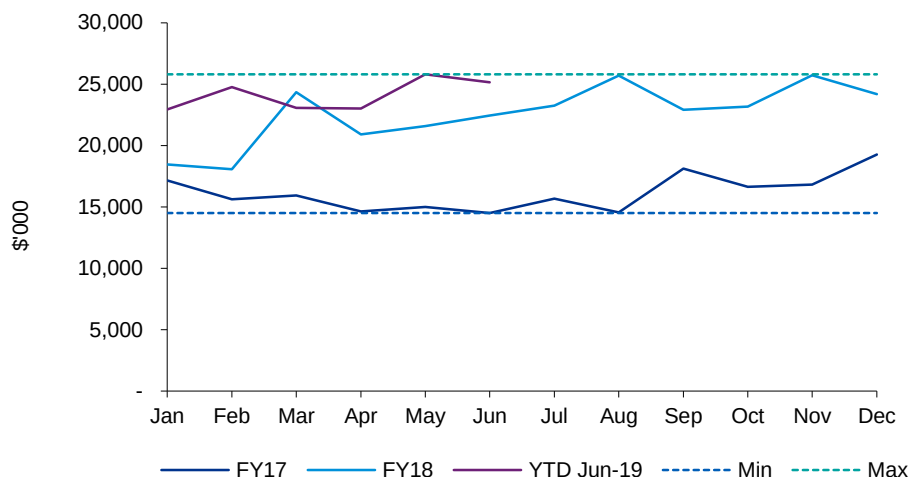
The following includes potential net working capital considerations identified during due diligence. These items relate to other potential business issues that should be considered in the overall evaluation of the business. In addition, these items may be subjective in nature and as a result, they have not been included in the net working capital schedule.

- A. Marine Lubricant:** Effective October 2018, Management represents that the Company was able to negotiate a 30 day payment term (vs. immediate payment previously) and an inventory price decrease with ExxonMobil for marine lubricant buyback program. The NWC impact of the payment and inventory change has not been quantified as we were unable to segregate this product from other ExxonMobil products. Note that most of the change has already been reflected in the reported trailing twelve month period. Company-wide DIO and DPO has been consistent over the historical period.
- B. Highland Oil acquisition:** Management does not distinctively track the financial results of Highland Oil, as such, we are unable to quantify a net working capital adjustment for the pre-acquisition period.

Net working capital (4/4) - Seasonality and days analysis

The analysis below is presented on an adjusted basis and incorporates Quality of Earnings and working capital adjustments. The Company's NWC days metrics remained relatively stable over the Historical Period.

Adjusted net working capital seasonality

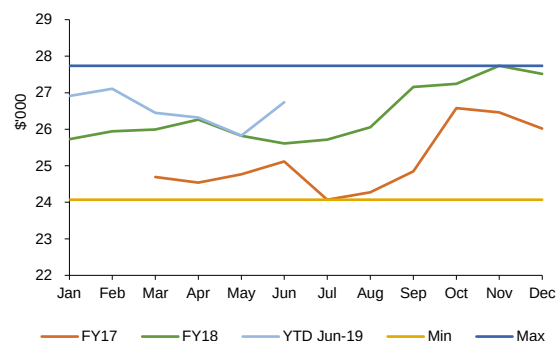


Source: Management provided information; KPMG analysis.

Working capital metrics, adjusted			
	FY17	FY18	TTM Jun-19
DSO			
Max	27	28	28
Average	25	26	27
Min	24	26	26
Variance from high	1	1	1
Variance from low	(1)	(1)	(1)
DIO			
Max	20	15	15
Average	18	15	14
Min	16	14	13
Variance from high	2	1	1
Variance from low	(3)	(1)	(2)
DPO			
Max	13	17	17
Average	12	13	15
Min	11	11	13
Variance from high	1	4	1
Variance from low	(1)	(3)	(3)

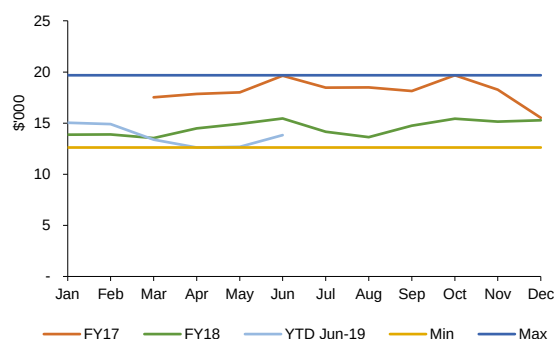
Source: Management provided information; KPMG analysis.

DSO, adjusted

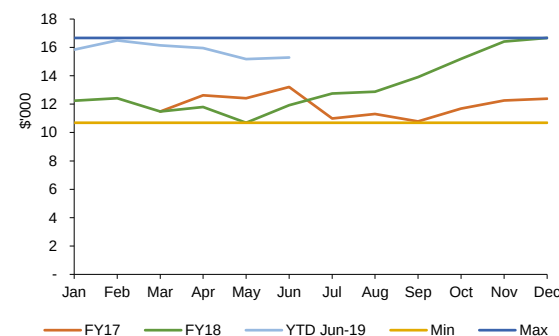


Source: Management provided information; KPMG analysis.

DIO, adjusted



DPO, adjusted





Net debt

Net debt

The table below summarizes the Company's cash, debt, and debt-like items as at June 30, 2019.

Net debt		
	As at	
\$'000	30-Jun-19	On BS?
Cash	66	Y
Line of credit	(14,296)	Y
Notes Payable - current portion	(1,056)	Y
Note Payable, long-term portion	(4,480)	Y
Capital lease - current	(415)	Y
Capital lease - long term	(2,595)	Y
Due to/from shareholders	(373)	Y
Net debt, reported	(23,150)	
Potential adjustments		
1 Unpaid intercompany rent	(416)	Y
2 Sales and fuel taxes	(301)	Y
3 Accrued interest	(43)	Y
4 Personal expenses	n.q.	N
Potential adjustments	(760)	
Net debt, potentially adjusted	(23,910)	

Source: Management provided information; KPMG analysis.

Reported Net debt

Excluding cash, key components of reported net debt as at June 30, 2019 include:

- **Line of credit:** Relates to the Company's revolving line of credit with Mercantil Bank, which has a maximum borrowing base of \$25.0 million.
- **Notes payable:** Includes various term loans with the latest maturing in 2042. The amount is presented gross of financing fees.
- **Capital lease:** Represents the liability associated with the Ryder fleet capital lease.
- **Due to/from shareholders:** Represents a net payable to the shareholders.

Potential adjustments

The following are potential adjustments to net debt identified during due diligence:

1. **Intercompany rent:** Rent payable to REH, TCL, and TCT has not been settled consistently over the historical period. To the extent there are any outstanding amounts at closing, the amount should be considered debt-like in nature.
2. **Sales and fuel taxes:** Consistent with NWC adj. #2, unpaid sales and fuel taxes are debt-like in nature and should be settled prior to closing.
3. **Accrued interest:** Represents interest on term loan and shareholder notes recorded in NWC #6, which has been included herein as a debt-like item.
4. **Personal expenses:** Certain non-recurring personal expenses are contracted by the Company and may not be transferred or terminated at closing. To the extent the Company will continue to incur the personal expenses, the remaining commitment should be considered a debt-like item. See the table below for expenses that may have residual commitments.

Personal expenses		
\$'000	Expiration	Remaining commitment
1 Owner and family health insurance	n.a.	n.a.
2 Spouse car lease	7/25/2020	8
3 Cellphone plans	n.a.	n.a.
4 Umbrella policy	n.a.	n.a.
Total		n.q.

Source: Management provided information; KPMG analysis.



Appendix

1. Engagement letter procedures
2. Reconciliation to reviewed financial statements
3. Consolidating financial statements
4. Adjusted income statement
5. Gross profit
6. Customer analysis
7. Top 15 Caribbean customers
8. Cardlock performance per location
9. Payroll analysis
10. Net working capital impact of QofE adjustment
11. Fleet analysis
12. Accounts receivable
13. Allowance for doubtful accounts
14. Accounts payable

Engagement letter procedures

APPENDIX A

APPENDIX A

WORKPLAN

FINANCIAL DUE DILIGENCE

Unless otherwise noted, our work will concentrate on Target's three most recent fiscal years (December 31st 2017 and 2018) and Target's most recent available year to date and trailing twelve months results.

1. Accounting and financial procedures

Read financial statements and discuss them with management to gain an understanding of Target's accounting policies and practices including:

- a) Reporting methodology;
- b) Significant accounting estimates;
- c) Revenue recognition; and
- d) Recent or contemplated changes in accounting principles, procedures, or estimates.

2. Reported financial results

Discuss the appropriateness of management-proposed adjustments to EBITDA and propose potential adjustments to historical EBITDA by considering the impact of:

- a) Shareholder's personal or family expenses;
- b) Market rates of compensation for key members of Target's management (and degree of involvement of Target's management post-closing of the Transaction);
- c) Hedging gains/losses, if any;
- d) Related party transactions;
- e) Highlands Oil acquisition;
- f) Significant new and lost customer relationships;
- g) Provisions, management estimates, or adjusting entries on the reported results;
- h) Additional items identified by management; and
- i) Other unusual or non-recurring events or transactions that may have distorted results.

3. Revenue, gross profit and volume

Obtain historical analyses of volume, revenue and gross profit for the period under consideration and comment on:

- a) Gross profit, gross profit per gallon, and gallon volume sales trends by segment, such as marine, bulk fuel, cardlock, lubricants and other;
- b) Gross profit, gross profit per gallon, and gallon volume sales trends split by International vs. US customers;
- c) Gross profit, gross profit per gallon, and gallon volume sales trends by customer (and identify the largest customers, including any customer concentration and/or credit risk issues);
- d) Pricing policies, including rebates and discounts; and
- e) Expenses by major category.

4. Operating expenses and corporate overhead

Obtain and read an analysis of Target's operating expenses and inquire about:

- a) Employee costs and headcount by function;
- b) Salaries, wages and fringe benefits expenses;
- c) Transportation and related overhead expenses;

- d) Property, office and supplies expenses (or equivalents);
- e) Accounting, IT and other back-office expenses;
- f) Environmental claims and costs; and
- g) Unusual and extraordinary items.

5. Working capital and normalized working capital

Obtain details of monthly working capital for the past two fiscal years and most recent available year to date and trailing twelve months period by main working capital items (i.e. inventory, accounts receivable, prepaid expenses, accounts payable, advances and accrued expenses) and comment on:

- a) Monthly working capital trends;
- b) The composition of individual working capital accounts; and
- c) Items that may impact normal working capital trends.

6. Inventory

Obtain and read an analysis of Target's inventory and inquire about:

- a) Inventory turnover by location and by major product group (if applicable);
- b) Impairments and reserve calculations; and
- c) Shrinkage.

7. Accounts receivable

Obtain and read an analysis of the Target's accounts receivable and inquire and comment on:

- a) Aging analysis;
- b) Trade and non-trade balances;
- c) Allowance for uncollectible accounts and write-offs; and
- d) Credit terms (including special terms).

8. Accounts payable and accrued liabilities

Obtain and read an analysis of Target's accounts payable and accrued liabilities and inquire about:

- a) Terms of trade with major suppliers, days payables outstanding and payables aging analysis;
- b) The composition and nature of accrued liabilities; and
- c) Other current and non-current liabilities.

9. Capex

Comment on Target's fixed assets, capital expenditures, and inquire about:

- a) Historical, deferred, and planned maintenance and growth capital expenditures;
- b) Historical, current and planned facility capacities;
- c) Age profile of sites and existing fleet; and
- d) Third party ownership of assets.

10. Commitments and Contingencies

Inquire about significant commitments and contingent liabilities including:

- a) Commitments and obligations under branding, volume incentives etc.;
- b) Pending or threatened litigation or investigations by regulatory or other authorities;
- c) Environmental assessments; and
- d) Capital expenditures.

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Reviewed financial statements (1/2) – Income statement

The table below reconciles the reviewed income statements for Tropic Oil Company and Affiliates to the Company's internal trial balances used to prepare the baseline analysis. **Audited financial statements include TOC, TTP, TLW, TLT, TFM, TCL, and TCT. Internal financial statements excludes TCL and TCT.**

Consolidated Income Statement						
\$'000	FY17			FY18		
	Reviewed	Variance	Internal	Reviewed	Variance	Internal
Net sales	202,366	30	202,336	297,921	86	297,835
Cost of sales	(185,025)	(0)	(185,025)	(273,060)	(0)	(273,060)
Gross margin	17,341	30	17,311	24,861	86	24,775
Selling, general and administrative	(14,399)	2	(14,401)	(19,843)	30	(19,873)
Interest expense	(258)	(22)	(236)	(988)	(55)	(933)
Depreciation and amortization	(731)	(24)	(707)	(1,586)	(64)	(1,522)
Operating expenses	(15,388)	(44)	(15,344)	(22,417)	(89)	(22,328)
Income from operations	1,953	(14)	1,967	2,444	(3)	2,447
Other Income	-	(30)	30	243	75	168
Gain (loss) on disposition of property and equipment	106	29	77	-	(73)	73
Other expenses, net	(0)	1	(1)	(44)	(44)	-
Other income (expense)	106	(0)	106	199	(41)	240
Net income	2,059	(14)	2,073	2,643	(44)	2,687

Source: Management provided information; KPMG analysis.

Variance results from the exclusion of TCL and TCT results in internal financials, which are included in the audit perimeter.

Reviewed financial statements (2/2) - Balance sheet

The table below reconciles the reviewed balance see for Tropic Oil Company and Affiliates to the Company's internal trial balances used to prepare the baseline analysis. **Audited financial statements include TOC, TTP, TLW, TLT, TFM, TCL and TCT. Internal financial statements excludes TCL and TCT.**

Consolidated Balance Sheet						
\$'000	FY17			FY18		
	Reviewed	Variance	Internal	Reviewed	Variance	Internal
Cash	220	600	(380)	311	279	32
Accounts receivable, net	19,289	(0)	19,289	23,820	(0)	23,820
Other receivables	284	(0)	284	574	(0)	574
Accounts receivable employees	-	-	-	4	-	4
Inventories	8,525	(0)	8,525	13,069	0	13,069
Prepaid expenses	204	38	166	1,275	582	693
Current assets	28,522	638	27,884	39,053	861	38,192
Property and equipment, net	7,324	2,085	5,239	11,931	1,618	10,312
Goodwill, net	488	-	488	3,203	0	3,203
Other assets	72	(602)	674	428	(560)	989
Intercompany receivable from related entity	-	184	(184)	-	326	(326)
Total Assets	36,406	2,305	34,100	54,615	2,245	52,370
Accounts payable and accrued expenses	(10,266)	(619)	(9,647)	(15,546)	(296)	(15,250)
Lines of credit and current portion of note payable	(9,312)	230	(9,542)	(14,919)	(1,102)	(13,817)
Current portion of capital lease obligation	(231)	2	(233)	(366)	1,430	(1,795)
Note payable stock purchase agreement - current	(219)	(219)	-	(228)	(228)	-
Intercompany payable to related entity	-	-	-	(334)	(334)	-
Distribution payable to stockholders	(655)	(0)	(655)	(1,089)	(0)	(1,089)
Current Liabilities	(20,683)	(607)	(20,077)	(32,482)	(530)	(31,952)
Note payable, long-term portion	(1,252)	(1,022)	(230)	(6,002)	(1,317)	(4,685)
Long-term capital lease obligation	(2,515)	39	(2,554)	(2,451)	46	(2,497)
Note payable, stock purchase agreement	(228)	(228)	-	-	-	-
Total Liabilities	(24,678)	(1,817)	(22,861)	(40,935)	(1,801)	(39,134)
Equity	(11,728)	(488)	(11,240)	(13,680)	(444)	(13,236)
Liabilities and Shareholders' equity	(36,406)	(2,305)	(34,100)	(54,615)	(2,245)	(52,370)

Source: Management provided information; KPMG analysis.

Variance results from the exclusion of TCL and TCT results in internal financials, which are included in the audit perimeter.

Consolidating financial statements (1/2) - Income statement

The table below presents the internal trial balance income statement for each entity in FY17, FY18, and TTM Jun-19 to illustratively present how they combine to form the consolidated Company income statement. The following figures are presented on a reported basis.

Consolidating income statement																					
\$'000	TOC	TFM	TLW	TTP	TLT	Elimin.	FY17	TOC	TFM	TLW	TTP	TLT	Elimin.	FY18	TOC	TFM	TLW	TTP	TLT	Elimin.	TTM Jun-19
Net sales	202,336	-	-	5,237	-	(5,237)	202,336	297,843	-	112	9,124	-	(9,243)	297,835	336,164	3	260	10,791	-	(11,069)	336,149
Cost of sales	(185,025)	-	-	-	-	-	(185,025)	(273,060)	-	-	-	-	-	(273,060)	(305,370)	-	-	-	-	-	(305,370)
Gross profit	17,311	-	-	5,237	-	(5,237)	17,311	24,783	-	112	9,124	-	(9,243)	24,775	30,794	3	260	10,791	-	(11,069)	30,779
Tropic Transport - Intercompany expense	(5,237)	-	-	-	-	5,237	-	(9,124)	-	-	-	-	9,124	-	(10,791)	-	-	-	-	10,791	-
Payroll related expenses	(5,366)	-	-	(3,528)	-	-	(8,894)	(7,506)	-	-	(4,621)	-	-	(12,127)	(9,232)	-	-	(5,613)	-	-	(14,845)
Operating expenses	(4,263)	-	-	(1,188)	-	-	(5,451)	(4,529)	(0)	(38)	(3,160)	(0)	120	(7,609)	(5,530)	(1)	(70)	(3,597)	(1)	277	(8,922)
Bad debts provision	(55)	-	-	-	-	-	(55)	(137)	-	-	-	-	-	(137)	(174)	-	-	-	-	-	(174)
Depreciation	(311)	-	-	(273)	-	-	(584)	(357)	(2)	(78)	(464)	-	-	(902)	(413)	(8)	(157)	(653)	-	-	(1,230)
Amortization	(8)	-	-	(115)	-	-	(123)	(156)	-	-	(465)	-	-	(621)	(307)	-	-	(490)	-	-	(797)
Interest expense	(206)	-	-	(30)	-	-	(236)	(631)	-	(67)	(234)	-	-	(933)	(813)	-	(138)	(228)	-	-	(1,178)
Other income/(expense)	77	-	-	29	-	-	106	242	-	-	(2)	-	-	240	257	-	-	(0)	-	-	257
Total expenses	(15,370)	-	-	(5,106)	-	5,237	(15,238)	(22,198)	(2)	(184)	(8,947)	(0)	9,243	(22,088)	(27,003)	(9)	(365)	(10,580)	(1)	11,069	(26,889)
Net income	1,941	-	-	132	-	-	2,073	2,585	(2)	(72)	177	(0)	-	2,687	3,791	(7)	(105)	211	(1)	-	3,890
EBITDA Calculation																					
Interest	206	-	-	30	-	-	236	631	-	67	234	-	-	933	813	-	138	228	-	-	1,178
Taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Depreciation and amortization	319	-	-	388	-	-	707	513	2	78	929	-	-	1,522	720	8	157	1,142	-	-	2,027
EBITDA	2,466	-	-	550	-	-	3,016	3,730	(0)	74	1,340	(0)	-	5,143	5,324	2	189	1,582	(1)	-	7,095

Source: Management provided information; KPMG analysis.

Consolidating financial statements (2/2) - Balance sheet

The table below presents the internal balance sheet for each entity as at 31-Dec-17, 31-Dec-18, and 30-Jun-19 to illustratively present how they combine to form the consolidated Company balance sheet. The following figures are presented on a reported basis.

Consolidating balance sheet																				
\$'000							As at							As at						
	TOC	TFM	TLW	TTP	TLT	Elimin.	31-Dec-17	TOC	TFM	TLW	TTP	TLT	Elimin.	31-Dec-18	TOC	TFM	TLW	TTP	TLT	Elimin.
Cash	(404)	-	-	24	-	-	(380)	(34)	-	100	(34)	-	-	32	(241)	-	200	106	-	-
Accounts receivable- Tropic Oil	17,619	-	-	-	-	-	17,619	21,784	-	-	-	-	-	21,784	24,079	-	-	-	-	-
Accounts receivable- T Fleet	2,156	-	-	-	-	-	2,156	2,800	-	-	-	-	-	2,800	2,392	-	-	-	-	-
Allowance for doubtful accounts	(486)	-	-	-	-	-	(486)	(764)	-	-	-	-	-	(764)	(756)	-	-	-	-	-
AR - Other	-	-	-	-	-	-	-	-	-	-	4	-	-	4	-	-	-	(8)	-	-
Other receivables	284	-	-	-	-	-	284	574	-	-	-	-	-	574	551	-	-	-	-	-
Inventory	8,525	-	-	-	-	-	8,525	13,069	-	-	-	-	-	13,069	12,579	-	-	-	-	-
Prepaid expenses	161	-	-	5	-	-	166	677	-	16	0	-	-	693	379	-	6	0	-	-
Current assets	27,855	-	-	29	-	-	27,884	38,106	-	116	(30)	-	-	38,192	38,983	-	207	98	-	-
Property and equipment, net	1,806	-	-	659	-	-	2,465	2,306	243	2,890	2,186	27	-	7,651	2,639	236	2,812	2,977	27	-
Right of use assets	-	-	-	2,774	-	-	2,774	-	-	-	2,661	-	-	2,661	-	-	-	2,755	-	-
Goodwill - Net	-	-	-	488	-	-	488	2,791	-	-	413	-	-	3,203	2,495	-	-	375	-	-
Other assets	342	-	-	333	-	-	674	768	-	43	177	-	-	989	1,011	-	44	85	-	-
Intercompany	(880)	-	-	696	-	-	(184)	1,824	(235)	(1,576)	(317)	(22)	-	(326)	2,343	(233)	(1,629)	(875)	(23)	-
Total assets	29,122	-	-	4,978	-	-	34,100	45,794	8	1,474	5,090	5	-	52,370	47,471	4	1,434	5,416	4	-
Accounts payable	(8,732)	-	-	(114)	-	-	(8,847)	(13,905)	-	-	(26)	-	-	(13,931)	(13,707)	-	-	(8)	-	-
Accrued expenses	(554)	-	-	-	-	-	(554)	(997)	-	(2)	-	-	-	(999)	(1,044)	-	-	-	-	-
Accrued sales taxes	(113)	-	-	-	-	-	(113)	(145)	-	(1)	-	-	-	(147)	(299)	(0)	(2)	-	-	-
Accrued property taxes	-	-	-	-	-	-	-	-	-	(10)	-	0	-	(10)	-	(0)	(18)	-	(0)	-
Accrued liabilities	-	-	-	(134)	-	-	(134)	-	-	-	(164)	-	-	(164)	-	-	-	(286)	-	-
Notes payable - current portion	(233)	-	-	-	-	-	(233)	(1,700)	-	(95)	-	-	-	(1,795)	(1,029)	-	(27)	-	-	-
Current portion of LTD	-	-	-	(348)	-	-	(348)	-	-	-	(399)	-	-	(399)	-	-	-	(415)	-	-
Line of credit	(9,195)	-	-	-	-	-	(9,195)	(13,419)	-	-	-	-	-	(13,419)	(14,296)	-	-	-	-	-
Due to/from shareholders	(655)	-	-	-	-	-	(655)	(1,089)	-	-	-	-	-	(1,089)	(373)	-	-	-	-	-
Current liabilities	(19,481)	-	-	(596)	-	-	(20,077)	(31,255)	-	(109)	(588)	0	-	(31,952)	(30,749)	(0)	(47)	(708)	(0)	-
Note payable, long-term portion	(230)	-	-	-	-	-	(230)	(3,348)	-	(1,337)	-	-	-	(4,685)	(3,088)	-	(1,392)	-	-	-
Liabilities - Non current	-	-	-	(2,554)	-	-	(2,554)	-	-	-	(2,497)	-	-	(2,497)	-	-	-	(2,595)	-	-
Total liabilities	(19,711)	-	-	(3,150)	-	-	(22,861)	(34,603)	-	(1,445)	(3,085)	0	-	(39,134)	(33,837)	(0)	(1,439)	(3,304)	(0)	-
Equity	(9,412)	-	-	(1,828)	-	-	(11,240)	(11,191)	(8)	(28)	(2,005)	(5)	-	(13,236)	(13,634)	(3)	5	(2,112)	(4)	-
Total liabilities and shareholder's equity	(29,122)	-	-	(4,978)	-	-	(34,100)	(45,794)	(8)	(1,474)	(5,090)	(5)	-	(52,370)	(47,471)	(4)	(1,434)	(5,416)	(4)	-

Source: Management provided information; KPMG analysis.

Adjusted income statement

Adjusted EBITDA improved between FY17 and TTM Jun-19 due to the opening of the Cocoa location, the acquisition of Highland Oil and the realization of operational efficiencies.

Adjusted income statement												
\$'000	Reported IS			As a % of revenue			Potentially adj. IS			As a % of revenue		
	TTM			TTM			TTM			TTM		
	FY17	FY18	Jun-19	FY17	FY18	Jun-19	FY17	FY18	Jun-19	FY17	FY18	Jun-19
Net sales	202,336	297,835	336,149	100.0%	100.0%	100.0%	202,336	297,835	336,149	100.0%	100.0%	100.0%
Cost of sales	(185,025)	(273,060)	(305,370)	(91.4%)	(91.7%)	(90.8%)	(185,025)	(273,060)	(305,370)	(91.4%)	(91.7%)	(90.8%)
Gross profit	17,311	24,775	30,779	8.6%	8.3%	9.2%	17,311	24,775	30,779	8.6%	8.3%	9.2%
Payroll related expenses	(8,894)	(12,127)	(14,845)	(4.4%)	(4.1%)	(4.4%)	(8,894)	(11,684)	(14,351)	(4.4%)	(3.9%)	(4.3%)
Operating expenses	(5,451)	(7,609)	(8,922)	(2.7%)	(2.6%)	(2.7%)	(5,451)	(7,391)	(8,704)	(2.7%)	(2.5%)	(2.6%)
Bad debts provision	(55)	(137)	(174)	(0.0%)	(0.0%)	(0.1%)	(55)	(137)	(174)	(0.0%)	(0.0%)	(0.1%)
Depreciation	(584)	(902)	(1,230)	(0.3%)	(0.3%)	(0.4%)	(584)	(902)	(1,230)	(0.3%)	(0.3%)	(0.4%)
Amortization	(123)	(621)	(797)	(0.1%)	(0.2%)	(0.2%)	(123)	(621)	(797)	(0.1%)	(0.2%)	(0.2%)
Interest expense	(236)	(933)	(1,178)	(0.1%)	(0.3%)	(0.4%)	(236)	(933)	(1,178)	(0.1%)	(0.3%)	(0.4%)
Other income/(expense)	106	240	257	0.1%	0.1%	0.1%	106	46	18	0.1%	0.0%	0.0%
Total expenses	(15,238)	(22,088)	(26,889)	(7.5%)	(7.4%)	(8.0%)	(15,238)	(21,622)	(26,416)	(7.5%)	(7.3%)	(7.9%)
Net income	2,073	2,687	3,890	1.0%	0.9%	1.2%	2,073	3,154	4,362	1.0%	1.1%	1.3%
EBITDA Calculation												
Interest	236	933	1,178	0.1%	0.3%	0.4%	236	933	1,178	0.1%	0.3%	0.4%
Taxes	-	-	-	-	-	-	-	-	-	-	-	-
Depreciation and amortization	707	1,522	2,027	0.3%	0.5%	0.6%	707	1,522	2,027	0.3%	0.5%	0.6%
EBITDA	3,016	5,143	7,095	1.5%	1.7%	2.1%	3,016	5,609	7,568	1.5%	1.9%	2.3%

Source: Management provided information; KPMG analysis.

Subsequent to the acquisition of Highland Oil, the Company was able to negotiate additional supplier discounts and consolidate transport, which improved gross profit.

Gross profit (1/3) - Fuel

The table below presents sales, gross profit, and volume per fuel type.

Gross profit per gallon - Fuel			
\$'000	FY17	FY18	TTM Jun-19
Sales			
Gasoline	10,522	18,085	24,876
ULSD dyed	112,316	163,574	170,633
ULSD undyed	42,712	69,006	82,152
Heavy fuel	139	106	186
Total sales - Fuel	165,688	250,771	277,846
Gross profit			
Gasoline	996	1,915	2,979
ULSD dyed	7,626	9,820	12,477
ULSD undyed	2,539	4,234	5,757
Heavy fuel	30	16	29
Total gross profit - Fuel	10,597	15,644	20,920
Volume (000' gallons)			
Gasoline	4,169	6,769	10,148
ULSD dyed	60,359	71,929	75,820
ULSD undyed	14,280	20,278	26,258
Heavy fuel	88	48	95
Total volume - Fuel	78,897	99,024	112,321
CPG - Gross profit (\$)			
Gasoline	0.24	0.28	0.29
ULSD dyed	0.13	0.14	0.16
ULSD undyed	0.18	0.21	0.22
Heavy fuel	0.34	0.33	0.31
Total fuel GP/gallon	0.13	0.16	0.19

Source: Management provided information; KPMG analysis.

Management represents that the Company was able to improve fuel margin by:

- 1) Improving the delivery network;
- 2) Increasing tank wagon volume, which earns higher margin;
- 3) Selling less to lower margin customers; and
- 4) Leveraging operational expertise from the Highland Oil acquisition and negotiating additional discounts from suppliers.

The Company is unable to delineate gross profit between legacy Tropic Oil business, the opening of the Cocoa location and the Highland Oil acquisition. As such, we have not been able to validate the marginal contribution of each initiative.

Gross profit (2/3) - Lubricant

The table below presents sales, gross profit, and volume per lubricant type.

Gross profit per gallon - Lubricant			
			TTM
\$'000	FY17	FY18	Jun-19
Sales			
Aviation	271	278	253
CVL	4,468	5,092	5,023
Industrial lubes	2,356	2,948	3,372
PVL & solvents	568	1,769	2,925
Marine lubes	2,105	2,481	2,755
Gear oils	396	347	373
Greases	517	764	1,083
Shell Lubes - Non-buybacks	1,715	1,943	1,866
Other products	285	166	151
Total sales - Lubricant	12,682	15,789	17,800
Gross profit			
Aviation	63	64	55
CVL	1,195	1,577	1,505
Industrial lubes	539	812	944
PVL & solvents	158	372	538
Marine lubes	174	602	693
Gear oils	44	84	85
Greases	83	176	271
Shell Lubes - Non-buybacks	371	442	405
Other products	51	38	38
Total gross profit - Lubricant	2,679	4,166	4,534
Volume ('000 gallons)			
Aviation	13	13	13
CVL	501	550	535
Industrial lubes	241	312	358
PVL & solvents	59	190	359
Marine lubes	248	244	262
Gear oils	28	17	16
Greases	22	30	41
Shell Lubes - Non-buybacks	146	183	173
Other products	56	40	42
Total lubricant gallons	1,315	1,579	1,800
CPG - Gross profit (\$)			
Aviation	4.99	4.73	4.34
CVL	2.39	2.87	2.81
Industrial lubes	2.24	2.61	2.64
PVL & solvents	2.68	1.96	1.50
Marine lubes	0.70	2.47	2.65
Gear oils	1.57	4.84	5.27
Greases	3.75	5.86	6.55
Shell Lubes - Non-buybacks	2.53	2.42	2.34
Other products	0.91	0.95	0.91
CPG - Gross profit	2.04	2.64	2.52

Source: Management provided information; KPMG analysis.



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Gross profit (3/3) – Other products

The table below presents sales, gross profit, and volume for other products.

Gross profit by gallon - Others			
\$'000	FY17	FY18	TTM Jun-19
Sales			
XOM buybacks	19,154	21,659	19,721
Shell buybacks	5,609	7,051	8,823
Hauling	1,596	2,062	2,307
DEF	-	283	754
Spray oil	-	741	2,534
Total sales	26,358	31,796	34,139
Gross profit			
XOM buybacks	1,388	1,720	1,602
Shell buybacks	569	677	787
Hauling	1,596	2,013	1,957
DEF	-	127	342
Spray oil	-	86	408
Total gross profit	3,552	4,624	5,097
Volume ('000 gallons)			
XOM buybacks	1,604	1,756	1,761
Shell buybacks	517	596	744
Hauling	15,015	14,875	15,716
DEF	-	-	260
Spray oil	-	-	472
Total gallons	17,136	17,227	18,953
CPG - Gross profit (\$)			
XOM buybacks	0.87	0.98	0.91
Shell buybacks	1.10	1.14	1.06
Hauling	0.11	0.14	0.12
DEF	-	-	1.31
Spray oil	-	-	0.87
CPG - Gross profit	0.21	0.27	0.27

New products introduced in July 2018.

Source: Management provided information; KPMG analysis.

Customer analysis | Top 20 customers

The top 20 customers analysis below ranks customers based on their gross profit during TTM Jun-19. Refer to the following slides for top gainers and decliners.

Sales and gross profit by customer												
\$'000	Sales			Gross profit			Gallons sold			Gross profit CPG		
	FY17	FY18	TTM	FY17	FY18	TTM	FY17	FY18	TTM	FY17	FY18	TTM
			Jun-19			Jun-19			Jun-19			
Royal Caribbean Cruises Ltd.	27,445	40,980	41,210	1,996	2,284	2,184	14,616	18,239	18,859	0.14	0.13	0.12
WORLD FUEL SERVICES	4,609	7,747	11,063	445	440	825	2,349	3,447	4,957	0.19	0.13	0.17
Bermuda Electric Light Company	1,998	2,300	2,539	(328)	371	489	240	231	243	(1.37)	1.60	2.01
CARNIVAL CRUISE LINES	7,117	9,384	12,153	268	323	470	3,983	4,226	5,603	0.07	0.08	0.08
DEPLOYED RESOURCES	974	930	2,370	145	166	411	490	355	964	0.30	0.47	0.43
WITHLACOOCHEE RIVER ELECTRIC	-	301	1,003	-	91	331	-	107	347	-	0.85	0.95
SEABOARD MARINE	4,404	6,694	6,914	201	235	286	2,387	3,036	3,184	0.08	0.08	0.09
ADMIRAL OIL	3,214	3,967	4,045	241	258	276	1,662	1,726	1,824	0.15	0.15	0.15
RYBOVICH BOAT COMPANY LLC	2,441	3,516	4,495	166	212	273	1,282	1,515	2,008	0.13	0.14	0.14
Fratelli Cosulich, Unipessoal	4,864	4,564	3,970	256	222	216	2,668	2,038	1,791	0.10	0.11	0.12
TROPIC FLEET HIALEAH	1,890	5,330	5,239	72	206	210	1,064	2,446	2,468	0.07	0.08	0.08
TROPIC FLEET MEDLEY	-	5,147	4,784	-	206	192	-	2,371	2,258	-	0.09	0.09
BALEARIA CARIBBEAN, LTD	2,981	3,538	3,524	175	189	187	1,649	1,586	1,623	0.11	0.12	0.12
DGP&S CONSTRUCTION INC	-	331	727	-	77	177	-	116	258	-	0.67	0.69
SEABOARD MARINE	1,517	2,113	1,973	142	183	175	806	930	887	0.18	0.20	0.20
MORETRENCH AMERICAN CORP.	-	600	1,156	-	66	173	-	251	473	-	0.26	0.37
FLORIDA POWER AND LIGHT CO	7,462	16,153	5,578	245	439	158	4,560	7,279	2,455	0.05	0.06	0.06
DEME CONSTRUCTION LLC	-	227	706	-	45	152	-	86	271	-	0.53	0.56
MIAMI-DADE PUBLIC SCHOOLS	133	652	982	30	98	146	23	224	366	1.29	0.43	0.40
TROPIC FLEET RECHTIEN	-	7,192	3,594	-	281	140	-	3,295	1,629	-	0.09	0.09
Top 20 customers	71,049	121,669	118,026	4,055	6,393	7,470	37,782	53,505	52,468	0.11	0.12	0.14
Other customers	76,715	118,891	148,240	6,875	11,507	16,345	35,638	46,286	59,888	0.19	0.25	0.27
Total	147,764	240,560	266,266	10,930	17,900	23,815	73,420	99,790	112,356	0.15	0.18	0.21

Source: Management provided information; KPMG analysis.

Note: Management represents that the Company's customer database doesn't include certain revenue items (e.g. surcharges and hauling), and as such, the figures presented to the left and on the following pages are lower than revenue presented on the income statement. However, Management noted that trends illustrated by customer are still comparable between periods and that the Company performs its analysis using this information.

Customer analysis | Top 20 decliners

The top 20 decliners analysis below ranks customers based on their gross profit change from FY18 to TTM Jun-19.

Top 20 decliners															
\$'000	Sales			Gross profit			Gross profit change			Gallons sold			Gross profit CPG		
	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17 to TTM Jun-19	FY18 to TTM Jun-19		FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
FLORIDA POWER AND LIGHT CO	7,462	16,153	5,578	245	439	158	(87)	(280)		4,560	7,279	2,455	0.05	0.06	0.06
TROPIC FLEET RECHTIEN	-	7,192	3,594	-	281	140	140	(141)		-	3,295	1,629	-	0.09	0.09
EXXONMOBIL	2,051	2,823	1,405	142	196	90	(52)	(106)		127	167	85	1.12	1.17	1.06
Royal Caribbean Cruises Ltd.	27,445	40,980	41,210	1,996	2,284	2,184	188	(100)		14,616	18,239	18,859	0.14	0.13	0.12
GREAT LAKES DREDGE & DOCK	82	923	20	22	66	4	(18)	(62)		1	409	8	15.86	0.16	0.52
GLENCORE, LTD.	641	1,428	-	14	53	-	(14)	(53)		374	715	-	0.04	0.07	-
Crowley Liner Services, Inc.	372	3,464	2,283	16	100	54	38	(47)		198	1,596	1,086	0.08	0.06	0.05
A & B MARINA	704	1,137	746	69	126	88	18	(38)		384	479	319	0.18	0.26	0.27
PALM BEACH RESOURCE RECOVERY	77	297	147	7	61	30	23	(31)		5	16	8	1.41	3.83	3.76
EASY INDUSTRAIL EQUIPMENT CORP	-	138	1	-	29	0	0	(29)		-	17	0	-	1.76	4.24
KPI BRIDGE OIL, INC.	1,788	3,190	2,801	62	113	90	28	(23)		1,008	1,426	1,278	0.06	0.08	0.07
HAMMOCK MARINA CORP.	572	586	311	33	41	19	(14)	(21)		262	238	132	0.13	0.17	0.15
305 TRUCK PARTS II CORPORATION	-	85	11	-	20	3	3	(17)		-	10	1	-	2.08	2.30
SHIP SIDE SERVICES	323	242	205	84	59	42	(42)	(17)		26	22	19	3.22	2.72	2.26
ORLANDO UTILITIES COMMISSION	110	246	41	14	17	1	(14)	(17)		52	111	22	0.28	0.16	0.03
THYSSENKRUPP ELEVATOR	128	116	63	32	30	14	(18)	(16)		23	17	9	1.40	1.80	1.58
JOHN W. STONE OIL COMPANY, INC	25	43	-	6	15	-	(6)	(15)		3	28	-	2.06	0.56	-
SALOMON TRUCK PARTS	189	314	252	43	86	70	27	(15)		25	39	29	1.68	2.18	2.41
EAGLE METAL PROCESSING &	137	147	122	42	36	21	(21)	(15)		42	46	43	0.99	0.78	0.48
ABLE OIL OF BREVARD	47	113	49	8	22	8	0	(14)		9	20	13	0.88	1.12	0.64
Top 20 decliners	42,153	79,617	58,841	2,835	4,074	3,016	180	(1,059)		21,716	34,169	25,995	0.13	0.12	0.12
Others	105,612	160,942	207,425	8,094	13,826	20,800	12,706	6,974		51,703	65,622	86,362	0.16	0.21	0.24
Total	147,764	240,560	266,266	10,930	17,900	23,815	12,886	5,916		73,420	99,790	112,356	0.15	0.18	0.21

Source: Management provided information; KPMG analysis.

- Florida Power and Light Co.:** Management represents that the level of activity related to this customer is predominately a function of whether the Company wins one if its bids or not. Further, Management stated that it uses discretion as to which contracts they bid on and in certain years fewer bids may be placed.
- EXXONMOBIL:** These sales include activity within the buyback accounts that the Company has with ExxonMobil. Management represents that the quantum of sales in each period is driven by ExxonMobil and their end customers and that the Company has minimal control.
- GREAT LAKES DREDGE & DOCK:** Management noted that annual fuel volume sold to this customer is dependent on if they win a project to dredge, which requires significant amounts of diesel.

Management represents that this is an intercompany account related to the Rechtiens cardlock. Management represents that the FY19 decline in sales is related to an accounting geography change.

Customer analysis | Top 20 gainers

The top 20 gainers analysis below ranks customers based on their gross profit change from FY18 to TTM Jun-19.

Top 20 gainers														
\$'000	Sales			Gross profit			Gross profit change		Gallons sold			Gross profit CPG		
	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17 to TTM Jun-19	FY18 to TTM Jun-19	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
WORLD FUEL SERVICES	4,609	7,747	11,063	445	440	825	380	385	2,349	3,447	4,957	0.19	0.13	0.17
DEPLOYED RESOURCES	974	930	2,370	145	166	411	266	245	490	355	964	0.30	0.47	0.43
WITHLACOCHEE RIVER ELECTRIC	-	301	1,003	-	91	331	331	240	-	107	347	-	0.85	0.95
CARNIVAL CRUISE LINES	7,117	9,384	12,153	268	323	470	203	147	3,983	4,226	5,603	0.07	0.08	0.08
Bermuda Electric Light Company	1,998	2,300	2,539	(328)	371	489	816	118	240	231	243	(1.37)	1.60	2.01
MORETRENCH AMERICAN CORP.	-	600	1,156	-	66	173	173	107	-	251	473	-	0.26	0.37
DEME CONSTRUCTION LLC	-	227	706	-	45	152	152	107	-	86	271	-	0.53	0.56
DGP&S CONSTRUCTION INC	-	331	727	-	77	177	177	101	-	116	258	-	0.67	0.69
Royal Caribbean Cruises Ltd.	34	286	893	4	36	122	118	86	19	123	390	0.22	0.29	0.31
DIXIE LANDSCAPE	-	281	586	-	63	137	137	74	-	107	229	-	0.59	0.60
BRANDT CONSOLIDATED INC	-	70	388	-	6	80	80	74	-	21	112	-	0.30	0.71
TRIANGLE CHEMICAL COMPANY	-	45	389	-	4	75	75	71	-	13	114	-	0.33	0.66
KC INDUSTRIES TRUCKING	-	283	625	-	47	111	111	64	-	112	252	-	0.42	0.44
SRM CONCRETE	-	378	858	-	41	103	103	62	-	158	368	-	0.26	0.28
RYBOVICH BOAT COMPANY LLC	2,441	3,516	4,495	166	212	273	106	60	1,282	1,515	2,008	0.13	0.14	0.14
JENSEN UNDERGROUND	-	181	451	-	34	91	91	57	-	67	173	-	0.51	0.53
STANDARD SAND & SILICA CO.	-	433	958	-	51	108	108	56	-	179	414	-	0.29	0.26
RINGPOWER CORPORATION	-	45	1,354	-	1	56	56	55	-	26	656	-	0.03	0.09
BORDEN DAIRY COMPANY/ TP	-	129	1,223	-	5	59	59	55	-	70	589	-	0.06	0.10
BRW CONTRACTING, INC	-	441	964	-	40	95	95	54	-	192	432	-	0.21	0.22
Top 20 gainers	17,173	27,909	44,904	701	2,121	4,338	3,637	2,217	8,364	11,402	18,855	0.08	0.19	0.23
Others	130,591	212,650	221,362	10,229	15,778	19,477	9,249	3,699	65,056	88,388	93,502	0.16	0.18	0.21
Total	147,764	240,560	266,266	10,930	17,900	23,815	12,886	5,916	73,420	99,790	112,356	0.15	0.18	0.21

Source: Management provided information; KPMG analysis.

Management represents that volume and gross profit metrics for the top 5 customers presented above were driven by market trends and growth in the customers' underlying business and not by specific events / a change in relationship with the Company.

Top 15 Caribbean customers

The table below illustrates the revenue, gross profit, and volume related to the Company's top 15 Caribbean customers as well as additional information regarding usage of the product purchased. The majority of product sold to Caribbean customers is used for immediate consumption.

Top 15 Caribbean customers											
Customer name	Product type	Customer type	Sales			Gross profit			Volume		
			TTM			TTM			TTM		
			FY17	FY18	Jun-19	FY17	FY18	Jun-19	FY17	FY18	Jun-19
Bermuda Electric Light Company	Lubricant	Power Company	1,998	2,300	2,539	(328)	371	489	240	231	243
FORTIS TCI	Lubricant	Power Plant	376	262	197	60	38	38	76	25	19
BAHAMAS POWER & LIGHT	Lubricant	Power Company	254	177	125	44	47	34	23	17	11
UNITED ABACO SHIPPING CO LTD	Lubricant	Shipping Line	370	439	412	28	28	27	199	190	183
HAWKS NEST RESORT & MARINA LTD	Fuel	Marina	171	276	235	17	23	23	87	118	105
ANTILLES TRADING COMPANY SEZC	Lubricant	Lubricant Reseller	-	93	130	-	11	19	-	7	12
Harville Enterprise	Lubricant/Additive	Reseller	49	75	73	10	17	17	5	7	6
STAR GROUP LIMITED	Lubricant	Reseller	7	31	77	1	6	13	1	3	17
GSC MANAGEMENT CO (BAHAMAS) LTD	Lubricant	Lubricant Reseller	43	44	44	11	12	13	3	3	3
ABACO Petroleum Company Ltd.	Lubricant	Lube Reseller	117	111	65	24	23	13	12	10	7
DELTA PETROLEUM	Lubricant	Fuel Supplier	-	-	50	-	-	9	-	-	6
SHIFTING GEARS TRANSMISSION	Lubricant	Reseller	41	80	44	(21)	16	7	7	8	5
MARINE POWER SERVICES	Lubricant	Boat Maintenance	3	25	20	1	7	5	0	2	2
DEPARTMENT OF MARINE & PORTS	Lubricant	Tug/Ferry Operator	27	22	18	7	5	3	2	2	1
C.E.D. LTD.	Lubricant	Lubricant Reseller	37	47	18	7	8	2	10	15	7
Others			23	5	6	6	1	1	2	0	1
Total			3,515	3,986	4,054	(133)	613	711	667	640	627

Source: Management provided information; KPMG analysis.

Additional information		
Invoice location	End usage of product	End location of product
27 Serpentine Road, Pembroke HM 07, Bermuda	Immediate Consumption	Bermuda
1030 Leeward Hwy, Providenciales, Turks & Caicos	Immediate Consumption	Turks & Caicos
Clifton Pier/PO Box N-3717, Nassua, Bahamas	Immediate Consumption	Bahamas
Port of West Palm Beach, FL	Immediate Consumption	Abaco, Bahamas
Cat Island, Bahamas	For Resale at Marina	Bahamas
802 West Bay Road, Grand Cayman	For Resale	Grand Cayman
3 Friendship Terrace, St. Michael, Barbados	For Resale	Barbados
PO Box EE-16502, Nassau Bahamas	For Resale	Bahamas
5th Flr Centerville, Collins Ave, Nassau Bahamas	For Resale	Bahamas
PO Box AB-20899 Marsh Harbor, Abaco Bahamas	For Resale	Bahamas
Pockwood Pond, Tortola, BVI	For Resale	BVI
103 Robinson Rd Nassau Bahamas	For Resale	Bahamas
Cobbs Cross St. Johns, Antigua	Immediate Consumption	Antigua
4 Crow Lane, Pembroke Bermuda	Immediate Consumption	Bermuda
PO Box 374 Providenciales, Turks & Caicos	For Resale	Turks & Caicos

Cardlock performance per location

The table below outlines performance for each Cardlock location.

Cardlock financial metrics									
	Sales			Gross Profit			Gross Margin		
			TTM			TTM			TTM
\$'000	FY17	FY18	Jun-19	FY17	FY18	Jun-19	FY17	FY18	Jun-19
1 Admin	(91)	(85)	(84)	(109)	(128)	(130)	119.5%	150.5%	156.0%
Medley	4,524	5,729	5,516	361	386	392	8.0%	6.7%	7.1%
TF Hialeah	4,732	5,773	5,684	430	407	437	9.1%	7.1%	7.7%
TF Rechten	6,072	7,694	7,249	491	480	485	8.1%	6.2%	6.7%
TF Vista	250	288	257	21	24	24	8.2%	8.2%	9.2%
TF Pro Transport	783	925	893	63	61	68	8.0%	6.6%	7.7%
TF Quality	505	604	508	40	39	38	8.0%	6.4%	7.4%
TF Key West	818	1,026	978	51	83	85	6.2%	8.1%	8.7%
TF Lake Wales	-	-	177	-	-	7	-	-	4.2%
2 TF Foreign Purchases	2,091	3,359	3,548	67	118	141	3.2%	3.5%	4.0%
Total	19,684	25,312	24,726	1,415	1,470	1,547	7.2%	5.8%	6.3%

Source: Management provided information; KPMG analysis.

1 Overhead and administrative expenses for the Cardlock business.

2 Spread earned when Tropic customers fuel up at external Cardlocks.

Payroll analysis

The Company's headcount growth was driven by historical expansion and acquisition, with 172 employees as at July 15, 2019.

Consolidated - Payroll analysis			
\$'000	FY17	FY18	TTM Jun-19
Salaries and wages	(7,129)	(9,692)	(11,970)
Benefits	(589)	(683)	(801)
Bonus	(537)	(844)	(927)
Payroll taxes	(537)	(749)	(921)
Other	(103)	(159)	(226)
Total payroll related expenses	(8,894)	(12,127)	(14,845)
As a % of salary			
Benefits	8.3%	7.0%	6.7%
Bonus	7.5%	8.7%	7.7%
Payroll taxes	7.5%	7.7%	7.7%
Other	1.5%	1.6%	1.9%
Fringe as a % of salary	24.8%	25.1%	24.0%
Average headcount	81	122	157
Per FTE			
Salaries and wages	(88)	(80)	(76)
Benefits	(7)	(6)	(5)
Bonus	(7)	(7)	(6)
Payroll taxes	(7)	(6)	(6)
Other	(1)	(1)	(1)
Total payroll related expenses	(110)	(100)	(95)

Source: Management provided information; KPMG analysis.

Census - July 15, 2019	
\$'000	Headcount
Management	6
Accounting and back-office	10
IT	2
Administrative	3
Customer support	4
Marketing	2
Operations	8
Account manager	4
Sales	16
Driver	72
Warehouse	28
Maintenance	15
Security	2
Total	172

Source: Management provided information; KPMG analysis.

Average compensation per headcount decreased due to a change in mix of workers after the Highland Oil acquisition.

The Company changed benefits provider in FY18, which helped decrease employer benefits expense.

Net working capital impact of QofE adjustment

The table below outlines the NWC account allocated for each QofE adjustment to quantify NWC adj. #7.

NWC classification of QofE adjustment		
\$'000	IS account	NWC account
Management adjustments		
1 Owner compensation	Payroll	Accrued payroll
2 Owner's personal expenses	Operating expenses	AP
3 President - personal expenses	Operating expenses	AP
4 Charitable contribution	Operating expenses	AP
5 Gift for former CFO's wife	Operating expenses	AP
6 Terminated employees	Payroll	Accrued payroll
7 Renegotiated bonus plan	Payroll	Accrued payroll
8 Lake Wells truck compliance	Operating expenses	AP
Potential adjustments		
9 Gain on sale of assets	Other income	n.a.
10 Interest income	Other income	n.a.
11 Non-operating income	Other income	n.a.
12 Family member healthcare	Operating expenses	AP
13 Charitable contributions	Operating expenses	AP
12 Terminated employees - commission	Payroll	Accrued payroll
Potential adjustments		

Source: Management provided information; KPMG analysis.

NWC impact of QofE adjustments						
\$'000	As at			Average		
	31-Dec-17	31-Dec-18	30-Jun-19	FY17	FY18	TTM Jun-19
a) Accrued payroll	-	11	6	-	9	10
b) AP	0	9	6	0	6	6
NWC impact of QofE adjustments	0	20	12	0	15	17

Source: Management provided information; KPMG analysis.

Fleet analysis

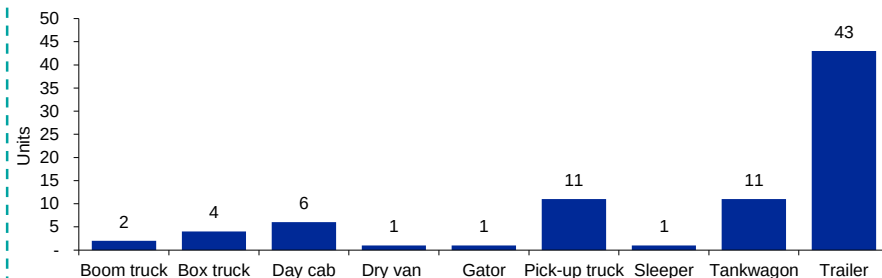
The tables presented below summarizes the Company's fleet as at June 30, 2019. The average age of an asset in the Company's fleet is 12.7 years, with 80 units older than 10 years.

Fleet aging summary per model year																						
No. of units	Prior to 2001	2001	2002	2003	2004	2005	2006	2007	2008	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	n/a	Total
Boom truck	1	-	-	-	1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	2
Box truck	2	1	-	1	-	-	-	-	-	-	-	1	-	1	-	-	-	1	-	-	-	7
Car	-	-	-	-	-	-	-	-	-	1	-	-	-	-	-	1	2	1	1	-	-	6
Day cab	-	-	-	-	-	4	-	1	1	-	1	-	-	-	-	-	-	15	-	2	-	24
Dry van	1	-	-	-	-	-	-	-	-	-	1	-	-	-	-	-	-	-	-	-	-	2
Enclosed	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1	-	-	-	1
Forklift	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	5	5
Gator	-	-	-	-	-	-	-	-	1	-	-	-	-	-	-	-	-	-	-	-	-	1
Pick-up truck	1	-	2	-	2	-	3	1	2	-	-	1	-	1	-	-	3	1	2	-	-	19
Pump trailer	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1	-	-	1
Sleeper	1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	8	-	-	-	9
Tankwagon	5	1	-	-	1	2	-	1	1	-	1	4	4	-	1	-	1	1	4	1	-	28
Trailer	28	1	1	1	1	8	1	2	-	-	1	-	-	1	2	-	2	-	2	-	-	51
Van	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1	-	-	-	-	-	1
Total	39	3	3	2	5	14	4	5	5	1	4	5	5	2	4	2	8	28	10	3	5	157

Fleet type per location										
	Number of unit					Average age (years)				
	Cocoa	LW	Medley	North	Consolidated	Cocoa	LW	Medley	North	Consolidated
Boom truck	-	2	-	-	2	-	19.5	-	-	19.5
Box truck	1	1	5	-	7	16.0	4.0	15.4	-	13.9
Car	-	-	6	-	6	-	-	2.8	-	2.8
Day cab	1	3	13	7	24	14.0	(0.3)	3.2	6.6	4.2
Dry van	-	-	2	-	2	-	-	16.5	-	16.5
Enclosed	-	-	1	-	1	-	-	1.0	-	1.0
Forklift	-	-	5	-	5	-	-	n.q.	-	n.q.
Gator	-	-	1	-	1	-	-	11.0	-	11.0
Pick-up truck	1	9	8	1	19	2.0	12.6	15.6	2.0	12.7
Pump trailer	-	-	1	-	1	-	-	-	-	-
Sleeper	3	-	5	1	9	7.0	-	1.0	1.0	3.0
Tankwagon	4	16	8	-	28	6.8	8.4	12.3	-	9.3
Trailer	7	4	18	22	51	18.6	18.5	17.6	26.3	21.5
Van	-	-	1	-	1	-	-	3.0	-	3.0
Total	17	35	74	31	157	12.4	10.4	10.5	20.2	12.7

Source: Management provided information; KPMG analysis.

Units older than 10 years



Accounts receivable

The tables below present the AR aging schedules as at June 30, 2019. The Company typically extends 30 days credit to their customers.

AR aging TOC MIA							
30-Jun-19							
\$'000	0-30	31-60	61-90	91-120	120+	Total	As a % of total
Royal caribbean cruises ltd.	2,528	1,093	-	-	-	3,621	15.6%
Carnival cruise lines	595	230	-	-	-	824	3.6%
World fuel services	647	10	-	-	-	657	2.8%
Exxonmobil marine lubricants	543	71	3	10	(11)	615	2.7%
Hybur limited	404	109	-	-	(0)	512	2.2%
Shell marine products (us) co.	399	5	(27)	84	(23)	439	1.9%
Bulk express tropic fleet	379	17	-	-	-	396	1.7%
Adonel concrete pumping	192	120	-	-	-	312	1.3%
Royal caribbean cruises ltd.	215	95	-	-	-	310	1.3%
Balearia caribbean, ltd	258	-	-	-	-	258	1.1%
Top 10 customers	6,159	1,752	(24)	94	(34)	7,946	34.3%
As a % of total	26.6%	7.6%	(0.1%)	0.4%	(0.1%)	34.3%	
Others	12,308	2,257	256	125	277	15,223	65.7%
Total	18,467	4,009	232	219	243	23,169	100.0%
As a % of total	79.7%	17.3%	1.0%	0.9%	1.0%	100.0%	

AR aging TOC MIA Foreign							
30-Jun-19							
\$'000	0-30	31-60	61-90	91-120	120+	Total	As a % of total
Bermuda electric light company	200	62	-	-	(0)	261	28.7%
Fratelli cosulich, unipessoal	208	0	0	-	-	208	22.8%
Integr8 fuels, inc.	135	-	-	-	-	135	14.9%
Rossmare international srl	73	-	-	-	-	73	8.1%
Western bulk carriers as	68	-	-	-	-	68	7.5%
Trafigura pte ltd	55	-	-	-	-	55	6.1%
Ocean energy ltd.	44	-	-	-	-	44	4.9%
Mersey bunkering	31	-	-	-	-	31	3.4%
Gefo-gesellschaft fur	15	-	-	-	-	15	1.7%
Pacific basin chartering ltd	15	-	-	-	-	15	1.7%
Top 10 customers	846	62	0	-	(0)	908	99.8%
As a % of total	93.0%	6.8%	0.0%	-	(0.0%)	99.8%	
Others	8	(2)	6	(1)	(10)	2	0.2%
Total	854	60	6	(1)	(10)	910	100.0%
As a % of total	93.9%	6.6%	0.7%	(0.1%)	(1.1%)	100.0%	

Source: Management provided information; KPMG analysis.

AR aging - TOC TFleet							
30-Jun-19							
\$'000	0-30	31-60	61-90	91-120	120+	Total	As a % of total
Nighthawk enterprises	299	63	-	-	-	361	16.9%
Pro transport inc.	160	-	-	-	-	160	7.5%
Soil tech - owner / opera	131	-	-	-	-	131	6.1%
Seaboard marine	70	-	-	-	-	70	3.3%
Bulk express transport in	68	-	-	-	-	68	3.2%
Miami truck leasing	67	-	-	-	-	67	3.1%
All america transportatio	66	-	-	-	-	66	3.1%
Allied trucking of florid	61	-	-	-	-	61	2.8%
Palmetto transport owner/	43	-	-	-	-	43	2.0%
Caribbean fibres inc	34	-	-	-	-	34	1.6%
Top 10 customers	999	63	-	-	-	1,062	49.6%
As a % of total	46.7%	2.9%	-	-	-	49.6%	
Others	1,004	38	11	3	22	1,077	50.4%
Total	2,003	101	11	3	22	2,140	100.0%
As a % of total	93.6%	4.7%	0.5%	0.1%	1.0%	100.0%	

AR aging TOC LW							
30-Jun-19							
\$'000	0-30	31-60	61-90	91-120	120+	Total	As a % of total
Jacob's farm inc legal	-	-	-	-	81	81	32.2%
Laser grading & env legal	-	-	-	-	43	43	17.0%
Britt's land clearing inc	26	10	-	-	-	35	14.1%
Allied portables, llc	11	19	-	-	-	31	12.1%
Travis resmondo sub contract	11	-	-	-	-	11	4.4%
Corey co. legal payments	-	-	-	-	9	9	3.4%
Palm beach finest tow legal	-	-	-	-	8	8	3.0%
Ona post company legal	-	-	-	-	7	7	2.9%
Old fl mining co legal	-	-	-	-	6	6	2.5%
Amaralto concrete/ tw	-	-	-	-	5	5	2.0%
Top 10 customers	48	29	-	-	159	236	93.6%
As a % of total	19.1%	11.5%	-	-	63.0%	93.6%	
Others	4	4	1	1	6	16	6.4%
Total	52	32	1	1	165	252	100.0%
As a % of total	20.8%	12.9%	0.6%	0.4%	65.3%	100.0%	

Allowance for doubtful accounts

Management records a provision for doubtful collections based on their classification of the client account's risk profile.

Allowance for doubtful accounts			
As at 30-Jun-19			
\$	Prov. %	AR	Provision
High Risk Accounts	90.0%	323	290
Moderate Risk Accounts	25.0%	254	63
Low Risk Accounts	1.6%	25,896	401
Total		26,473	755
% of provision			2.85%

Source: Management provided information; KPMG analysis.

Accounts payable

The Company has an average payment credit from vendors of approximately 15 days.

AP aging TTP - 30-Jun-19								
\$'000	Not due	0-30	31-60	61-90	91-120	120+	Total	As a % of total
Port consolidated	3	-	-	-	-	-	3	41.8%
Premier lube & repair llc	2	-	-	-	-	-	2	29.7%
Florida pump & meter	2	-	-	-	-	-	2	20.3%
Tron's auto & towing	1	-	-	-	-	-	1	16.6%
Werts welding & tanks service inc	1	0	-	-	-	-	1	8.0%
Ryder transportation services	0	1	-	-	-	-	1	6.8%
Central hydraulics & equip inc	0	-	-	-	-	-	0	6.0%
Nextran truck center	0	0	-	-	-	-	0	5.0%
Health care center of miami	0	-	-	-	-	-	0	4.6%
Johnsons wrecker service	0	-	-	-	-	-	0	3.7%
Top 10 vendors	10	1	-	-	-	-	11	142.4%
As a % of total	130.6%	11.8%	-	-	-	-	142.4%	
Others	1	0	(2)	(1)	(1)	(0)	(3)	(42.4%)
Total	11	1	(2)	(1)	(1)	(0)	8	100.0%
As a % of total	140.3%	12.8%	(29.4%)	(15.7%)	(6.5%)	(1.4%)	100.0%	

AP aging - 30-Jun-19								
\$'000	Not Due	0-30	31-60	60-90	90-120	120+	Total	As a %
Marathon petroleum company	3,367	1,105	(0)	-	-	-	4,472	34.3%
Exxonmobil oil corporation	2,477	97	(3)	-	-	-	2,571	19.7%
Shell sopus products/ EFT acct	1,265	288	-	42	-	-	1,596	12.2%
Chevron products company	1,033	171	-	-	-	-	1,204	9.2%
Citgo	638	193	-	-	-	-	830	6.4%
Valero energy corp.	627	143	-	-	-	-	769	5.9%
Vitol	567	89	-	-	-	-	656	5.0%
Calumet specialty products eft	284	-	-	-	-	-	284	2.2%
Ryan petroleum	140	4	-	-	-	-	144	1.1%
Connor's jet age fuel inc	98	2	-	-	-	-	100	0.8%
Top 10 vendors	10,495	2,090	(3)	42	-	-	12,625	96.8%
As a % of total	80.4%	16.0%	(0.0%)	0.3%	-	-	96.8%	
Others	237	183	2	(0)	-	3	424	3.2%
Total payable	10,732	2,273	(1)	42	-	3	13,049	100.0%
As a % of total	82.2%	17.4%	(0.0%)	0.3%	-	0.0%	100.0%	

Source: Management provided information; KPMG analysis.

Glossary

\$'000	Thousands of U.S. Dollars	LTD	Long-term debt
AASB	Auditing and Assurance Standard Board	LW	Lake Wales
Adj.	Adjustment	Management	Management of the Company
AR	Accounts receivable	Max	Maximum
BS	Balance sheet	Min	Minimum
CEO	Chief Executive Officer	n.a.	Not applicable/Not available
CFO	Chief Financial Officer	No.	Number
Client	Parkland Fuel Corporation	n.q.	Not quantifiable
Company/Target	Tropic Oil Company	NWC	Net Working Capital
Cont'd	Continued	QofE	Quality of Earnings
CPG	Cents per gallon	REH	Tropic Real Property Holdings LLC
DIO	Days of inventory outstanding	TCL	Tropic Cocoa, LLC
DPO	Days payable outstanding	TCT	Tropic Cocoa Two, LLC
DSO	Days sales outstanding	TFM	Tropic Fort Meade LLC
EBITDA	Earnings before interest, tax, depreciation and amortization	TLT	Tropic Lake Wales II LLC
FTE	Full-time equivalent	TLW	Tropic Lake Wales LLC
FYXX	Fiscal year ended December 31, 20XX	TOC	Tropic Oil Company, Inc.
GL	General ledger	TTP	Tropic Transportation LLC
IS	Income statement	TTM	Trailing Twelve months
IT	Information technology	VP	Vice President
LLC	Limited Liability Company	WC	Working Capital
LLP	Limited Liability Partnership	YTD	Year-to-date



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